are not really controllable by monetary policy, which then leads to the incorrect generalization that since monetary policy cannot control the politically most important aspects of inflation, it cannot control inflation in general.

With no powerful and vocal political constituency getting agitated about generalized inflation so long as it is only moderately high, opponents of disinflationary policies are free to frame the debate as they wish. The persuasive way is to claim that interest rates are hurting growth. The argument is hard to refute because there is always some sympathetic borrower who is paying seemingly excessive rates. The high prevailing borrowing rate of some small borrower – say 15 per cent today – is held out as Exhibit A of the central bank's inconsiderate policies, never mind that the rate charged includes the policy rate of 6.5 per cent plus an additional spread of 8.5 per cent, consisting of a default risk premium, a term premium, an inflation risk premium, and the commercial bank's compensation for costs, none of which are directly affected by the policy rate.

The press is constantly urged to frame the debate as inflation versus growth, and with inflation still only moderately high, only the excessively conservative central bank could be against growth! Never mind that overly accommodative policy today will set up inflation for the future; never mind that the last forty years of economic theory and practice suggests that the best way central banks can support growth over the medium term is by keeping inflation low and stable.

The reality, of course, is that high inflation is not stable. As we have seen in India's own past, and in other emerging markets, moderately high inflation tends quickly to become very high inflation. The currency then becomes volatile, leading occasionally to external stress. After all, one of the reasons we were termed the Fragile Five in the summer of 2013 was because of our high inflation. Moreover, the